

correspondingly,” he said.¹⁰ Accordingly, Fisher sought companies that not only were the lowest-cost producers of products or services but were dedicated to remaining so. A company with a low break-even point, or a correspondingly high profit margin, is better able to withstand depressed economic environments. Ultimately, it can drive out weaker competitors, thereby strengthening its own market position.

No company, said Fisher, will be able to sustain its profitability unless it is able to break down the costs of doing business while simultaneously understanding the cost of each step in the manufacturing process. To do so, he explained, a company must install adequate accounting controls and cost analysis. This cost information, Fisher noted, enables a company to direct its resources to those products or services with the highest economic potential. Furthermore, accounting controls will help identify snags in a company’s operations. These snags, or inefficiencies, act as an early-warning device aimed at protecting the company’s overall profitability. Fisher’s sensitivity about a company’s profitability was linked with another concern: a company’s ability to grow in the future without requiring equity financing. If the only way a company can grow is to sell shares, he said, the larger number of shares outstanding will cancel out any benefit that stockholders might realize from the company’s growth. A company with high profit margins, explained Fisher, is better able to generate funds internally, and these funds can be used to sustain its growth without diluting shareholders’ ownership. In addition, a company that is able to maintain adequate cost controls over its fixed assets and working capital needs is better able to manage its cash needs and avoid equity financing.

Fisher was aware that superior companies not only possess above-average business characteristics but, equally important, are directed by people with above-average management capabilities. These managers are determined to develop new products and services that will continue to spur sales growth long after current products or services are largely exploited. Many companies, Fisher noted, have adequate growth prospects because their lines of products and services will sustain them for several years, but few companies have policies in place to ensure consistent gains for 10 to 20 years. “Management,” he said, “must have a viable policy for attaining these ends with all the willingness to subordinate immediate profits for the